Table 5 below shows the distribution of deposits required to be put into the customer and PAB reserve bank accounts or permitted withdrawals after the reserve computation performed at the end of the reporting period relative to the reserve bank account balance.[320] These metrics provide a picture of the "mismatch" that occurs with respect to customer and PAB accounts. Specifically, this mismatch is calculated as a carrying broker-dealer's deposit divided by its reserve account balance from any month.[321] The average of these mismatches for each broker-dealer over 2023 is computed to determine the "average mismatches." For the "maximum mismatches," each broker-dealer's largest deposit amount in 2023 is divided by its reserve account balance for that month.[322] The distributions of the average and maximum mismatches are presented in the columns "Average Mismatch" and "Maximum Mismatch" of Table 5.

The average mismatches and maximum mismatches were generally lower for carrying broker-dealers below the $500 Million Threshold, than for carrying broker-dealers above the $500 Million Threshold.

With respect to customer reserve accounts, shown in Panel A, the mismatches were larger for the groups of carrying broker-dealers with over $500 million in average total credits, with the largest occurring for carrying broker-dealers within the $5 to $10 billion range. On the aggregate

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320 Calculated from monthly FOCUS Reports for 2023. The Commission isolated deposits (equal to or greater than zero) from any month (Line 4520), relative to the reserve account balance, (Line 4530). For PAB reserve bank accounts, deposits and amount in reserve account are FOCUS Lines 2290 and 2300, respectively. The distribution of the averages of the monthly deposits, withdrawals, and reserve account balances (over 2023) are presented in columns 'Average Deposit', 'Average Withdrawal', and 'Average Reserve Balance' of Table 5. The Commission also recalculated by defining the deposit category as only values greater than zero, but the average mismatch did not change very much for each category, nor did the pattern seen in the table.

321 A deposit represents the amount that a carrying broker-dealer needs to deposit to close the gap between the amount prescribed by the reserve computation and the actual reserve balance in the bank account.

322 The Commission isolated the largest monthly deposit amount in 2023 (Line 4520), relative to the reserve account balance for that month (Line 4530). The same was done for PAB reserve accounts (FOCUS Lines 2290 and 2300, respectively).

level, for carrying broker-dealers above the $500 Million Threshold, the average mismatch was 15.7%, while it was only 6.4% for carrying broker-dealers below the $500 Million Threshold.[323] Similarly, the maximum mismatch for carrying broker-dealers above the $500 Million Threshold was 36.1%, while it was 20.9% for carrying broker-dealers below the $500 Million Threshold.[324]

For PAB reserve accounts, shown in Panel B, the largest average mismatches and the maximum mismatches occurred for the groups of carrying broker-dealers with over $250 million in average total credits, with the largest occurring for carrying broker-dealers with over $10 billion in average total credits.

Panels C and D of Table 5 display the average mismatch and maximum mismatch metrics comparing the large carrying broker-dealers (over $1 billion in average total credits) that currently compute their reserve accounts daily versus those that do so weekly. With respect to customer reserve accounts (Panel C), carrying broker-dealers that compute daily have larger average reserve balances and deposits, and lower average and maximum mismatches than those that compute weekly.

For PAB reserve accounts (Panel D), the average or maximum mismatch do not appear as correlated with daily versus weekly filing.

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323 Calculated from monthly FOCUS Reports for 2023. The aggregated average mismatch of 15.7% is calculated as an average of the average mismatches for all carrying broker-dealers that met the $500 Million Threshold. The same was done for carrying broker-dealers below the $500 Million Threshold.

324 Calculated from monthly FOCUS Reports for 2023. The maximum mismatch of 36.1% was calculated as an average of the maximum mismatches for all carrying broker-dealers above the $500 Million Threshold. The same was done for carrying broker-dealers below the $500 Million Threshold.

Table 54. Broker-Dealer Deposits and Withdrawals as a Share of Reserve Account Balance, 2023

Panel A: Customer Reserve Accounts

Broker-Dealer Group	#	Average Reserve Balance MM	Average Deposit MM	Average Withdrawal MM	Average Mismatch %	Maximum Mismatch %
>$0-100MM	87	$9.9	$0.5	-$3.0	6.5%	19.8%
$100-250MM	14	$69.7	$3.5	-$18.4	6.5%	26.5%
$250-500MM	12	$194.7	$11.2	-$25.6	5.0%	22.1%
$500MM-1B	8	$190.8	$15.8	-$24.1	20.8%	42.0%
$1-5B	17	$697.3	$56.6	-$62.9	15.8%	37.9%
$5-10B	6	$2,848.8	$512.5	-$142.9	24.3%	52.1%
>= 10B	18	$11,626.0	$784.7	-$785.1	10.8%	26.7%

Panel B: PAB Reserve Accounts

Broker-Dealer Group	#	Average Reserve Balance MM	Average Deposit MM	Average Withdrawal MM	Average Mismatch %	Maximum Mismatch %
>$0-100 MM	22	$1.3	$0.03	-$0.3	1.7%	11.3%
$100-250 MM	8	$10.8	$0.2	-$2.0	1.3%	7.1%
$250-500 MM	8	$87.6	$3.9	-$21.8	4.5%	25.4%
$500MM-1 B	7	$3.2	$0.3	-$0.7	4.8%	21.4%
$1-5 B	15	$45.6	$5.8	-$20.0	9.8%	40.4%
$5-10 B	6	$79.3	$12.8	-$85.7	4.9%	37.6%
>= 10 B	16	$528.0	$101.8	-$245.7	12.5%	49.4%

Panel C: Customer Reserve Accounts

Broker-Dealer Group	#	Average Reserve Balance MM	Average Deposit MM	Average Withdrawal MM	Average Mismatch %	Maximum Mismatch %
All (weekly and daily)						
>= 1B	41	$5,810.1	$443.0	-$395.0	14.8%	35.1%
Daily						
>= 1B	9	$13,028.4	$423.9	-$978.5	3.8%	15.2%
Weekly						
>= 1B	32	$3,780.0	$448.3	-$200.5	17.9%	40.6%

Panel D: PAB Reserve Accounts

Broker-Dealer Group	#	Average Reserve Balance MM	Average Deposit MM	Average Withdrawal MM	Average Mismatch %	Maximum Mismatch %
All (weekly and daily)						
>= 1B	37	$259.7	$48.4	-$141.5	10.1%	43.8%
Daily						
>= 1B	9	$778.3	$148.4	-$278.2	10.5%	49.7%
Weekly						
>= 1B	28	$93.0	$16.3	-$77.1	10.0%	41.7%

3. Debit Reduction in the Customer Reserve Computation for Certain Broker-Dealers

Several commenters suggested that the Commission reduce the aggregate debit items charge that certain carrying broker-dealers must take when performing their customer reserve computation under Rule 15c3-3.[325] Rule 15c3-1 requires broker-dealers to maintain a minimum level of net capital at all times. Carrying broker-dealers using the alternative method for computing their net capital must maintain minimum net capital of the greater of $250,000 or 2% of their aggregate debit items computed under the customer reserve computation. In addition, a broker-dealer that uses the alternative method to compute its net capital must provide the Commission with an "early warning" notice when its aggregate debit items in its customer reserve computation fall below 5%. All carrying broker-dealers with total credits more than $500 million in their customer reserve computation as of December 31, 2023, use the alternative method. A carrying broker-dealer using the alternative method to compute its minimum net capital requirement must reduce aggregate debit items by 3% when performing its customer

[325] *See* SIFMA Letter at 5; Raymond James Letter at 2; ASA Letter at 5; ASA Letter 2 at 1.

reserve computation under Rule 15c3-3. This provision serves to increase the amount of funds a carrying broker-dealer must deposit into its customer reserve bank account.

Commenters recommended that the Commission eliminate the 3% debit reduction and instead apply the 1% debit reduction that currently applies to carrying broker-dealers using the basic method to compute their net capital. One commenter stated a reduction of the 3% debit reduction is warranted because under a daily customer reserve computation the value of debit items and amounts carrying broker-dealers owe customers on any given day are accounted for in the next day's customer reserve computation and the difference is protected in the next day's deposit into the customer reserve bank account.[326] This commenter stated that the new requirement to perform a customer reserve computation daily would reduce the need for any cushion to account for a mismatch and, consequently, would increase liquidity and lower costs for customer financing by allowing carrying broker-dealers to use assets that would otherwise be locked up (in their customer reserve bank account).[327] This commenter further stated that carrying broker-dealers could use the added liquidity to provide customers with more financing at a lower cost, and (reducing the debit reduction) would thereby benefit customers as well as carrying broker-dealers.[328]

Another commenter stated that when the Commission adopted the 3% debit reduction in 1975 it stated that the purpose was to provide, in the event of a liquidation, an additional cushion of secured debit items which will be available to satisfy customers with whom the carrying

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326 *See* SIFMA Letter at 6.

327 *Id.*

328 *Id.*

broker-dealer effects transactions.[329] This commenter stated that a shift to a daily customer reserve computation enabled by technological advancements since 1975 would result in a more precise and up-to-date computation, thereby mitigating the risk that the 3 debit reduction addresses in the customer reserve computation.[330] The commenter went on to state that "a 1% debit reduction in line with that applied to other broker-dealers seems appropriate for firms that calculate net capital under the alternative method."

The Commission agrees that performing a customer and PAB reserve computation daily will reduce the mismatch risk and more dynamically match the amount a carrying broker-dealer owes its customers and PAB account holders and the amount on deposit in its customer reserve bank account. When the mismatch risk is reduced by moving from weekly to daily calculations, the aggregate debit items need not be reduced by the 3%. However, the Commission disagrees with commenters that performing a daily customer reserve computation merits a decrease of the 3% debit reduction to 1% of customer margin loan balances. The 1% debit reduction applies to carrying broker-dealers that use the basic method to calculate their minimum net capital requirements. Net capital requirements are formulated differently under the alternative and basic methods. While the basic method targets the overall leverage of a carrying broker-dealer directly, under the alternative method, the net capital rule is formulated as a percentage of total customer receivables. Under the weekly-computation regime, the 3% debit reduction has been designed to compensate for the potential lower minimum net capital requirement resulting from carrying broker-dealers electing the alternative method in lieu of the basic method. Consequently, the Commission strengthened the customer reserve computation requirements for

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329 *See* Raymond James Letter at 2.

330 *Id.*

carrying broker-dealers using the alternative method. A 1% debit reduction could lead to inadequate combined levels of liquidity and capital buffers at carrying broker-dealers that use the alternative method to calculate their minimum net capital requirements.

The Commission is modifying the final rule amendments to permit carrying broker-dealers that use the alternative method to reduce aggregate debit items by 2% rather than 3% if they perform a daily customer reserve computation. This amendment will apply to both carrying broker-dealers that are required to perform a daily customer reserve computation because they exceed the $500 Million Threshold and carrying broker-dealers below the $500 Million Threshold that voluntarily perform a daily computation. Performing a daily customer reserve computation reduces the risk that the net amount of cash owed to customers will be substantially greater than the net amount on deposit in a carrying broker-dealer's customer reserve bank account.

A daily computation requirement allows for cash owed to customers from a particular day to be included in that day's customer reserve computation, computed the next business day and any required deposits made the following business day. Therefore, under a daily customer reserve computation, the amount on deposit in the customer reserve bank account will more quickly reflect the net amount of cash the carrying broker-dealer owes its customers, and therefore, reduces the need for the current 3% "cushion." Performing a daily customer reserve computation will reduce the maximum time between required deposits into a customer reserve bank account to two business days.

A 2% debit reduction is reasonable given the lower mismatch risk under a daily customer reserve computation. This 2% "buffer" also will provide carrying broker-dealers with a safeguard to ensure a carrying broker-dealer maintains adequate balances in its customer reserve

bank account to ensure that the customer securities and cash should be readily available to return to customers and PAB account holders in the event the carrying broker-dealer fails financially. Further, carrying broker-dealers will be able to use this extra liquidity to pay the initial and ongoing compliance costs to transition from a weekly to daily customer reserve computation under the final rule amendments. Carrying broker-dealers below the $500 Million Threshold also may choose to voluntarily perform a daily customer reserve computation to use the 2% debit reduction. The combined requirement of a daily customer reserve computation and a 2% debit reduction will provide this additional flexibility while enhancing customer protection requirements under Rule 15c3-3.

C. Economic Effects of the Final Amendments

1. Benefits

Customers and PAB account holders of the affected carrying broker-dealers are expected to benefit from the requirement to perform daily customer and PAB reserve computations. As reflected in the discussion in section I.A. of this release noting the large amounts of deposits carrying broker-dealers may receive, and as evidenced from the information in Table 5, a weekly customer and PAB reserve computation can result in a carrying broker-dealer owing a net amount of cash to customers or PAB account holders for a number of days that is greater than the current amounts deposited into the customer and PAB reserve bank accounts. Hence, if a carrying broker-dealer fails before the next reserve account computation and the reserve bank account balances do not represent the actual net amount of cash owed to customers or PAB account holders, these customers and PAB account holders may be at risk of having their funds tied up in a liquidation proceeding. Performing daily customer and PAB reserve computations would likely decrease this risk.

Under the scenario where a carrying broker-dealer does not have sufficient funds to repay what it owes to customers or PAB account holders, SIPC likely would need to initiate a liquidation of the carrying broker-dealer under SIPA.[331] Although the SIPC Fund can be used to advance funds to customers that are owed money, PAB account holders are not entitled to such advances; therefore, they may not receive the funds owed to them by a failed carrying broker-dealer as promptly as other customers of such broker-dealer may. In addition, there is a limit on advances to customers in the amount of $500,000 per customer (of which $250,000 can be used to cover cash claims). If some customers are owed more than such limit, these customers would have to wait along with PAB account holders until a trustee is appointed who would consequently attempt to recover assets of the failed carrying broker-dealer via asset sales or other recovery methods. This recovery process may, in some cases, be lengthy.[332] In an extreme case, the amounts the trustee is able to recover may still be insufficient to make all customers and PAB account holders whole, which means that these customers and PAB account holders would absorb the loss.

Based on these various circumstances, from the customer's or PAB account holder's perspective, there are varying degrees of risk related to a potential failure of a carrying broker-dealer, depending on whether it can promptly return cash and securities to customers and PAB account holders, or whether it has enough funds to make all customer and PAB account holders whole at the time of its failure. Therefore, maintaining levels of customer and PAB reserve bank

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331 *See* section I.C.2. of this release (discussing broker-dealer liquidations and SIPA).

332 For example, it has been the case that customers of a liquidated carrying broker-dealer have had to wait up to six months or more to access their assets during the liquidation period. *See* Michael P. Jamroz, *The Customer Protection Rule*, 57 BUS. LAW. 1069 (May 2002), available at https://www.jstor.org/stable/40688076.

account balances that more closely represent the actual amounts of net cash owed to customers and PAB account holders will benefit these customers and PAB account holders by decreasing the risk of not completely recovering their funds from the carrying broker-dealer or having these funds tied up in a liquidation proceeding.[333]

In addition, performing daily computations will benefit customers and PAB account holders of the affected carrying broker-dealers by more quickly applying the protective measures of the Rule 15c3-3 reserve requirements to cash of customers and PAB account holders that is newly deposited into the carrying broker-dealer. This reduces the likelihood of carrying broker-dealers inadvertently using customers' or PAB account holders' funds to finance any part of their business.[334]

Other carrying broker-dealers that are SIPC members may also benefit from the requirement to perform daily customer and PAB reserve computations. Specifically, if a failing carrying broker-dealer with a mismatch between the reserve bank account balances and actual cash owed to customers and PAB account holders is put into SIPA liquidation, SIPC may be required to use the SIPC Fund to advance money to customers from the SIPC Fund, reducing its balance and potentially depleting the SIPC Fund. Consequently, a reduction in the SIPC Fund balance and/or SIPC's unrestricted net assets may trigger increased contributions from member

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333 The Commission notes that, with daily computing, there will still be a mismatch between the actual net cash owed to customers and the reserve account balance because of the deposit timing delay, which is the morning of the second business day after the day of calculation. Should a carrying broker-dealer computing daily fail, and the amount of the mismatch is lower than in the case of a weekly computation, the customer may receive their funds more promptly from the carrying broker-dealers' available assets than in the case where mismatches are larger (which may imply a longer liquidation process), underscoring the potential benefit from daily computing.

334 With respect to each customer reserve computation required pursuant to Rule 15c3-3, a broker-dealer must not accept or use any of the amounts under items comprising total credits under the customer reserve formula except for the specified purposes indicated under items comprising total debits under the formula. *See* paragraph (e)(2) of Rule 15c3-3.